ECON 122

PRACTICE EXAMINATION PAPER
Exam scope 2026 · Opportunity 1 style

Module code	ECON122
Module description	Introduction to Macroeconomics
Type of assessment	Comprehensive revision examination (Paper 1 style)
Maximum marks	500
Structure	Section A: Multiple choice [200] | Section B: Theory [150] | Section C: Calculations [150]
Suggested time	15 hours in total (≈ 3 hours per 100 marks, as in the real exam). Work in sittings: Section A (6 h), Section B (4½ h), Section C (4½ h).
Textbook	Mohr & Associates, *Economics for South African Students* – Chapters 13–18 and 20–22
Resources	Non-programmable calculator

This is an independent practice paper written to mirror the format, mark allocation and style of past ECON122 Paper 1 examinations (2018–2024) and the 2026 exam scope. It is not an official university examination paper. All companies, countries and data are fictional or hypothetical unless stated otherwise.

Instructions / *Instruksies*

- Answer **all** the questions.
- The *ceteris paribus* condition applies to all questions.
- Show all calculations and formulae.
- **Round all final answers to two decimal places (no rounding in calculation steps).**
- Answer Section A on the multiple-choice answer sheet at the back of this paper. In Section A, every question carries a **2-mark** weight. There is no negative marking.
- Complete Section C, Question 2.1 in the **Annexure** provided.
- Where a question asks for a graph, draw it neatly, label both axes and all curves, and indicate the equilibrium points.
- It is in your best interest to write neatly and legibly.

Exam scope coverage

Chapter	Section A	Section B	Section C
13 Measuring the performance of the economy	1–16	B1, B2, B3	C1, C2, C3
14 The monetary sector	17–31	B1, B4	C6
15 The government	32–45	B1, B5	C7
16 The foreign sector	46–60	B1, B8	C8
17 & 18 The Keynesian model	61–76	B1, B9	C9, C10
20 Inflation	77–87	B1, B7	C3.4, C4
21 Unemployment, poverty and inequality	88–94	B1, B10	C5
22 Economic growth and business cycles	95–100	B1, B6	C1.7, C3.3

Every calculation (GDP methods, CPI inflation, unemployment and participation rates, M1–M3, tax rates, absolute/comparative advantage and terms of trade, the full Keynesian model) and every theory topic on the 2026 ECON 122 exam scope checklist is examined at least once.

SECTION A / *AFDELING A* — MULTIPLE CHOICE [200]

Choose the **most correct** answer. Each question carries 2 marks (100 × 2 = 200).

1. Gross domestic product (GDP) is the total value of all ___ produced within the boundaries of a country in a particular period.

A. final goods and services
B. final goods sold to households only
C. goods and services produced by permanent residents, wherever they live
D. goods and services, including intermediate goods

2. Which one of the following would be included in South Africa's GDP for 2026?

A. The purchase of existing shares on the JSE
B. The sale of a 2019 second-hand car in 2026
C. The salary of a South African engineer working in Dubai
D. The value of a new house built in Polokwane during 2026

3. GDP at market prices is equal to GDP at factor cost plus ...

A. depreciation (consumption of fixed capital)
B. taxes on production and imports minus subsidies
C. net primary income from the rest of the world
D. subsidies minus taxes on production and imports

4. GDP at factor cost is R4 800 billion, taxes on production and imports are R620 billion and subsidies are R45 billion. GDP at market prices is:

A. R4 135 billion **B.** R4 225 billion
C. R5 465 billion **D.** R5 375 billion

5. Given C = R3 200 bn, I = R900 bn, G = R1 100 bn, X = R1 500 bn and Z = R1 450 bn, gross domestic expenditure (GDE) is:

A. R5 200 bn **B.** R3 750 bn
C. R6 700 bn **D.** R5 250 bn

6. Which statement best explains why South Africa's gross national income (GNI) is usually smaller than its GDP?

A. South Africa imports more goods than it exports
B. South Africa pays more primary income to the rest of the world than it receives
C. Taxes on production exceed subsidies
D. Depreciation of the capital stock is very large

7. A farmer sells wheat for R10 000 to a miller, who sells flour for R12 500 to a baker, who sells bread for R18 000 to a shopkeeper, who sells it to consumers for R21 000. The value added by the baker is:

A. R5 500 **B.** R2 500
C. R18 000 **D.** R3 000

8. Real GDP measures the value of production ...

A. at factor cost only **B.** after subtracting depreciation
C. at current prices **D.** at constant (base-year) prices

9. Real GDP was R4 400 billion in 2025 and R4 532 billion in 2026. The real economic growth rate for 2026 is:

A. 2.91% **B.** 3.00%
C. 13.20% **D.** 30.00%

10. When GDP is calculated using the income approach, it is valued at:

A. factor cost **B.** basic prices
C. market prices **D.** constant prices

11. When GDP is calculated using the production (value-added) approach, it is valued at:

A. current exchange rates **B.** market prices
C. factor cost **D.** basic prices

12. The further the Lorenz curve lies from the line of perfect equality (the diagonal), ...

A. the lower the Gini coefficient
B. the greater the inequality in the income distribution
C. the more equal the income distribution
D. the higher the per capita income

13. A Gini coefficient of 0 indicates ...

A. that the Lorenz curve lies on the horizontal axis
B. perfect equality
C. perfect inequality
D. that one household earns all income

14. The quantile ratio as a measure of inequality compares ...

A. the area between the diagonal and the Lorenz curve with the total area
B. nominal GDP with real GDP
C. the income share of the richest group with that of the poorest group
D. the number of employed with the labour force

15. The current account of the balance of payments records ...

A. only changes in gold and foreign reserves
B. flows of shares, bonds and direct investment
C. only unrecorded transactions (errors and omissions)
D. exports and imports of goods and services plus income payments to and from other countries

16. Which one of the following is NOT one of the five main macroeconomic objectives?

A. Maximising government tax revenue **B.** Full employment
C. Price stability **D.** Equitable distribution of income

17. A shop labels a loaf of bread at R19.99. Here money is performing its function as a ...

A. medium of exchange **B.** unit of account
C. store of value **D.** standard of deferred payment only

18. Thabo keeps R5 000 in a savings account to spend next year. Money is serving as a ...

A. medium of exchange **B.** factor of production
C. unit of account **D.** store of value

19. High inflation most directly undermines money's function as a ...

A. means of barter **B.** store of value
C. unit of account **D.** medium of exchange

20. M1 in South Africa consists of ...

A. M2 plus long-term deposits
B. coins and banknotes in circulation plus demand deposits of the domestic private sector
C. coins and banknotes only
D. all short- and medium-term deposits

21. M3, the most comprehensive measure of money, is equal to ...

A. coins and notes plus cheque deposits
B. M2 minus quasi-money
C. M2 plus long-term deposits (longer than six months)
D. M1 plus short- and medium-term deposits

22. Coins and notes in circulation = R50 m, demand deposits = R300 m, short- and medium-term deposits = R400 m and long-term deposits = R250 m. M2 is:

A. R1 000 m
B. R650 m
C. R350 m
D. R750 m

23. The demand for active balances (transactions and precautionary motives) depends mainly on ...

A. expected bond prices only
B. the level of income
C. the interest rate
D. the exchange rate

24. The speculative demand for money (passive balances) is ...

A. positively related to the interest rate
B. inversely related to the interest rate
C. independent of the interest rate
D. determined only by the level of income

25. An increase in national income will, ceteris paribus, ...

A. have no effect on the demand for money
B. cause a movement up along LL
C. shift the total demand for money curve (LL) to the right
D. shift LL to the left

26. If the interest rate increases from 7% to 8%, ceteris paribus, there will be ...

A. a movement along LL to a smaller quantity of money demanded
B. a leftward shift of LL
C. a rightward shift of LL
D. an increase in the quantity of money demanded

27. In the South African approach to the money supply, the quantity of money is determined by ...

A. the SARB printing a fixed amount of banknotes
B. the demand for money and the interest rate (there is no independent money supply curve)
C. the amount of gold held by the SARB
D. the government budget deficit only

28. The main instrument of monetary policy used by the SARB is the ...

A. personal income tax rate
B. repo rate
C. VAT rate
D. import tariff

29. When the SARB sells government bonds in the open market, it ...

A. lowers the repo rate automatically
B. increases banks' cash reserves
C. reduces banks' cash reserves and enlarges the money-market shortage
D. increases the money supply

30. Which one of the following is NOT a function of the South African Reserve Bank?

A. Acting as banker and adviser to the government
B. Acting as lender of last resort to banks
C. Collecting personal income tax from individuals
D. Formulating and implementing monetary policy

31. According to your study material, the inflation target range adopted in South Africa in 2000 is:

A. 0-3%
B. 3-6%
C. 6-9%
D. 1-5%

32. Public goods are goods that are ...

A. non-rival but excludable
B. rival but non-excludable
C. non-rival and non-excludable
D. rival and excludable

33. The free-rider problem associated with public goods arises mainly because public goods are ...

A. rival in consumption
B. subject to VAT
C. non-excludable
D. always produced by monopolies

34. Fish in the open ocean are an example of a ...

A. natural monopoly
B. pure public good
C. merit good
D. common property resource

35. When a factory pollutes a river, ...

A. the good is underproduced
B. marginal social cost exceeds marginal private cost and the good is overproduced
C. marginal private cost exceeds marginal social cost
D. social benefit exceeds private benefit

36. The Coase theorem states that ...

A. government must always tax polluters
B. if the parties to an externality can bargain, they will reach an efficient outcome without government intervention
C. monopolies should be nationalised
D. public goods must be provided by the state

37. To achieve the socially efficient output, a tax on a polluting industry should equal ...

A. the marginal private cost
B. the VAT rate
C. the firm's total profit
D. the difference between marginal social cost and marginal private cost

38. A group of firms lobbies politicians for protection so that they earn higher profits at the expense of society. This is an example of ...

A. horizontal equity
B. the benefit principle
C. rent seeking
D. a positive externality

39. Using the budget to reduce fluctuations in output, employment and prices refers to the government's ...

A. regulation function
B. allocation function
C. distribution function
D. stabilisation function

40. Expansionary fiscal policy involves ...

A. raising the repo rate
B. reducing government spending and/or raising taxes
C. selling government bonds in the open market
D. increasing government spending and/or reducing taxes

41. The principle that people in the same economic position should pay the same amount of tax is known as ...

A. horizontal equity
B. vertical equity
C. neutrality
D. the benefit principle

42. Value-added tax (VAT) in South Africa is regarded as ...

A. a direct tax
B. progressive
C. proportional
D. regressive

43. The legal minimisation of one's tax liability is called ...

A. tax avoidance
B. tax evasion
C. tax incidence
D. tax rebate

44. Use the 2024/25 SARS table in Section C (Question 7). A person younger than 65 has a taxable income of R420 000. The tax payable is:

A. R130 200
B. R60 237
C. R92 707
D. R75 472

45. For the person in the previous question, the effective (average) tax rate is:

A. 31.00%
B. 17.97%
C. 22.07%
D. 26.00%

46. A country has a comparative advantage in a good when it can produce that good ...

A. at a higher price than another country
B. in greater quantities than any other good
C. at a lower opportunity cost than another country
D. with fewer resources than another country

47. Country A can produce 10 shirts or 20 pairs of shoes; Country B can produce 6 shirts or 18 pairs of shoes. Which statement is correct?

A. Country B has a comparative advantage in shirts
B. Country A has a comparative advantage in both goods
C. Country A has a comparative advantage in shirts
D. There is no basis for trade

48. Using the data in the previous question, mutually beneficial terms of trade for 1 shirt lie between ...

A. 6 and 10 pairs of shoes
B. 1 and 2 pairs of shoes
C. 0.33 and 0.5 pairs of shoes
D. 2 and 3 pairs of shoes

49. If the export price index is 115 and the import price index is 125, the terms of trade index is:

A. 92.00 (the terms of trade are unfavourable)
B. 240.00
C. 108.70 (the terms of trade are favourable)
D. 92.00 (the terms of trade are favourable)

50. Which of the following represents a DEMAND for US dollars in the South African foreign exchange market?

A. An American investor buying shares on the JSE
B. A South African firm paying for machinery imported from the USA
C. An American tourist exchanging dollars for rand in Cape Town
D. A South African exporter receiving dollars for wine sold in the USA

51. Which of the following represents a SUPPLY of US dollars in the South African foreign exchange market?

A. A South African investor buying shares in an American company
B. A South African student paying tuition at a US university
C. An American tourist exchanging dollars for rand in Cape Town
D. A South African importer buying US software

52. The exchange rate changes from $1 = R17 to $1 = R19. This means that ...

A. the rand has depreciated against the dollar
B. the rand has appreciated against the dollar
C. the dollar has depreciated against the rand
D. South African exports have become more expensive in the USA

53. A depreciation of the rand will, ceteris paribus, ...

A. make SA exports more expensive abroad
B. make SA exports cheaper abroad and imports more expensive in SA
C. make imports cheaper in SA
D. reduce the cost of imported oil

54. Which one of the following could cause an appreciation of the rand against the dollar?

A. An expected depreciation of the rand
B. A sharp rise in the world prices of gold and platinum
C. An increase in SA imports from the USA
D. SA investors buying US shares

55. To counter a depreciation of the rand, the SARB could ...

A. lower the repo rate
B. sell dollars from its foreign reserves
C. buy dollars in the foreign exchange market
D. remove all exchange controls

56. An ad valorem tariff is ...

A. a subsidy to exporters
B. a tax levied as a percentage of the value of the imported good
C. a fixed amount per unit imported
D. a physical limit on the quantity imported

57. A physical restriction on the quantity of a good that may be imported is called a(n) ...

A. export subsidy
B. import quota
C. exchange rate policy
D. ad valorem tariff

58. The argument that a new domestic industry should be protected temporarily until it achieves economies of scale is the ...

A. dumping argument
B. government revenue argument
C. infant industry argument
D. national security argument

59. Selling goods in a foreign market at artificially low prices (below cost or below the home price) is called ...

A. import substitution
B. dumping
C. quota rent
D. free trade

60. An item costs EUR400 in Germany. If EUR1 = R20.25, the item costs in rand (ignoring transport costs):

A. R5 062.50
B. R8 100.00
C. R420.25
D. R19.75

61. When income increases by R1 000 consumption increases by R750. The marginal propensity to consume is:

A. 0.75
B. 750
C. 0.25
D. 1.33

62. Autonomous consumption refers to consumption ...

A. that changes as income changes
B. by the government sector
C. that takes place even when income is zero, financed from past savings or credit
D. of imported goods only

63. In a simple closed economy without government, if the marginal propensity to save is 0.25 the multiplier is:

A. 0.25
B. 1.33
C. 2.5
D. 4

64. If C = 200 + 0.8Y, the savings function is:

A. S = 200 + 0.2Y
B. S = 200 - 0.8Y
C. S = -200 + 0.8Y
D. S = -200 + 0.2Y

65. In the Keynesian model, equilibrium income is reached where ...

A. government spending equals tax revenue
B. savings equal zero
C. consumption equals investment
D. aggregate expenditure equals total income (A = Y), on the 45-degree line

66. In the simple Keynesian model, investment spending is treated as ...

A. autonomous: determined by interest rates and expectations, not by income
B. equal to savings at every level of income
C. negatively related to income
D. induced: a fixed fraction of income

67. Which one of the following is NOT an assumption of the simple Keynesian model?

A. Prices, wages, the money stock and interest rates are given
B. Initially there are only households and firms
C. Prices and wages are fully flexible
D. Spending is the driving force in the economy

68. If C = 50 + 0.75Y and I = 100 in a closed economy without government, equilibrium income is:

A. 150
B. 600
C. 200
D. 450

69. In the economy in the previous question, investment increases by 20. The change in equilibrium income is:

A. 80
B. 20
C. 26.67
D. 15

70. In an open economy with c = 0.8, t = 0.25 and m = 0.1, the value of the multiplier is:

A. 5
B. 1.67
C. 2.5
D. 2

71. An increase in the proportional income tax rate will, ceteris paribus, ...

A. reduce the size of the multiplier
B. increase the marginal propensity to consume
C. leave the multiplier unchanged
D. increase the size of the multiplier

72. Does an increase in autonomous government spending change the value of the multiplier?

A. No, and it has no effect on equilibrium income
B. Yes, it increases the multiplier
C. Yes, it reduces the multiplier
D. No, it raises equilibrium income through the multiplier but does not change the multiplier itself

73. A higher marginal propensity to import ...

A. increases the multiplier because imports are an injection
B. increases autonomous spending
C. has no effect on the multiplier
D. reduces the multiplier because imports are a leakage

74. If the multiplier is 2.5 and total autonomous spending is 800, equilibrium income is:

A. 2 000
B. 3 200
C. 320
D. 802.5

75. If t = 0.2, equilibrium income is 2 000 and G = 450, the government budget shows a ...

A. deficit of 400
B. surplus of 400
C. deficit of 50
D. surplus of 50

76. According to Keynes, ...

A. savings are always automatically re-injected as investment
B. supply creates its own demand (Say's law)
C. the economy is always at full employment
D. aggregate demand (spending) determines production and income

77. Inflation is best defined as ...

A. an increase in the price of a single good
B. a decrease in the general price level
C. a continuous and considerable rise in prices in general
D. a once-off increase in the price of petrol

78. A once-off increase in the petrol price is ...

A. inflationary only if wages fall
B. always defined as hyperinflation
C. an example of deflation
D. not inflationary in itself, but its secondary effects on other prices are

79. The CPI was 120.0 in March 2025 and 124.2 in March 2026. The year-on-year inflation rate for March 2026 is:

A. 3.50%
B. 0.57%
C. 3.38%
D. 4.20%

80. The CPI was 123.5 in February 2026 and 124.2 in March 2026. The month-on-month inflation rate for March 2026 is:

A. 0.57%
B. 3.50%
C. 0.56%
D. 0.70%

81. If nominal GDP is R6 000 bn and real GDP is R5 000 bn, the GDP deflator is:

A. 120
B. 83.33
C. 20
D. 1.2

82. Cost-push inflation is illustrated by ...

A. a rightward shift of aggregate supply
B. a rightward shift of aggregate demand
C. a leftward shift of aggregate demand
D. a leftward shift of aggregate supply, raising prices and lowering output (stagflation)

83. When the economy is at full employment, a further increase in aggregate demand will ...

A. raise output and lower prices
B. only raise real output
C. reduce unemployment significantly
D. only raise the general price level

84. In the structuralist approach, inflationary expectations and indexation are examples of ...

A. initiating factors
B. exogenous shocks
C. underlying factors
D. propagating factors

85. The conflict approach sees inflation as ...

A. a symptom of disagreement between social groups over the distribution of income
B. caused solely by natural disasters
C. the result of falling productivity only
D. the result of too much money chasing too few goods only

86. Who tends to gain from unexpected inflation?

A. Borrowers who repay fixed-interest loans
B. Lenders at fixed interest rates
C. Pensioners on fixed incomes
D. Savers who earn fixed interest

87. The original Phillips curve shows ...

A. the relationship between interest rates and money demand
B. the relationship between GDP and GNI
C. an inverse relationship between inflation and unemployment
D. a positive relationship between inflation and unemployment

88. Under the strict (narrow) definition, an unemployed person must also have ...

A. actively searched for work in the four weeks before the survey
B. registered for a UIF grant
C. worked for at least one hour in the week before the survey
D. been unemployed for longer than one year

89. Discouraged work-seekers are counted as unemployed ...

A. under the broad (expanded) definition only
B. under the strict (narrow) definition only
C. under both definitions
D. under neither definition

90. If 15 million people are employed and 5 million are unemployed (strict definition), the narrow unemployment rate is:

A. 25.00%
B. 75.00%
C. 20.00%
D. 33.33%

91. Grape pickers in the Hex River Valley who are without work after the harvest are an example of ...

A. cyclical unemployment
B. frictional unemployment
C. seasonal unemployment
D. structural unemployment

92. Bank tellers who lose their jobs because customers switch to app banking are an example of ...

A. structural unemployment
B. cyclical unemployment
C. frictional unemployment
D. seasonal unemployment

93. Retail workers retrenched because sales fell during a recession are an example of ...

A. cyclical unemployment
B. frictional unemployment
C. structural unemployment
D. seasonal unemployment

94. Which type of unemployment is temporary, always present in an economy and not regarded as a serious problem?

A. Structural unemployment
B. Cyclical unemployment
C. Frictional (search) unemployment
D. Long-term unemployment

95. Economic growth is best measured as the annual percentage change in ...

A. the money supply M3
B. the consumer price index
C. real GDP (preferably per capita)
D. nominal GDP

96. The phase of the business cycle between a peak and the next trough is the ...

A. boom
B. recovery
C. downswing (contraction)
D. upswing (expansion)

97. Technically, a recession occurs when real GDP ...

A. grows slower than the population
B. grows by less than 3% per year
C. declines for two successive quarters
D. declines in any single month

98. Keynesian economists believe that business cycles are ...

A. random occurrences with no policy implications
B. exogenous, so government should not intervene
C. endogenous, so government should intervene with fiscal and monetary policy
D. caused by sunspots

99. Which one of the following is a LEADING business cycle indicator?

A. Industrial production
B. Duration of unemployment
C. The exchange rate
D. Company profits already reported

100. Capital deepening occurs when ...

A. the labour force grows faster than the capital stock
B. the capital stock grows at the same rate as the labour force
C. the amount of capital per worker increases
D. depreciation exceeds investment

SECTION B / *AFDELING B* — THEORY [150]

QUESTION 1 / *VRAAG 1* *Concepts and definitions* [10]

Define the following concepts:

1.1 Fiscal policy (1)

1.2 Monetary policy (1)

1.3 Unit of account (1)

1.4 Comparative advantage (1)

1.5 Autonomous consumption (1)

1.6 Gross domestic product (GDP) (1)

1.7 Inflation (1)

1.8 Structural unemployment (1)

1.9 Capital widening (1)

1.10 Gross domestic expenditure (GDE) (1)

QUESTION 2 / *VRAAG 2* *Macroeconomic objectives* [8]

2.1 Name and briefly explain the five main macroeconomic objectives. (5)

2.2 Explain, with reference to the Phillips curve, why the objectives of full employment and price stability may conflict with each other. (3)

QUESTION 3 / *VRAAG 3* *National income accounting* [12]

3.1 In tabular form, distinguish between gross domestic product (GDP), gross domestic expenditure (GDE) and gross national income (GNI). Your table should show what each measures and the formula used to calculate it. (6)

3.2 Indicate whether each of the following would be included in South Africa's GDP for 2026. Give a reason for each answer. (4)
(a) A Toyota bakkie manufactured in 2021 and resold in 2026.
(b) The salary of a Zimbabwean engineer working temporarily in Sandton.
(c) Vegetables grown by a household in its own garden for its own use.
(d) The output of a South African-owned clothing factory in Maseru, Lesotho.

3.3 Explain why GDP is called a *gross* measure and give two reasons why GDP is not a perfect measure of economic welfare. (2)

QUESTION 4 / *VRAAG 4* *Money and banking* [24]

4.1 Name and explain the three functions of money. Give an example of each. (3)

4.2 “Money is not the same as income or wealth.” Explain this statement. (2)

4.3 Discuss the three motives for holding money (the demand for money). In your answer, distinguish between active and passive balances and state the factors that determine each. (6)

4.4 With the aid of a clearly labelled graph, illustrate the effect on the quantity of money demanded in South Africa if interest rates increase from 7% to 8%. Also state how the graph would change if national income increased instead. (4)

4.5 Explain how banks create money. Distinguish between passive and active money creation, and explain why there is no independent money supply curve in South Africa. (5)

4.6 Name and briefly explain four functions of the South African Reserve Bank. (4)

QUESTION 5 / *VRAAG 5* *Market failure and government intervention* [26]

5.1 Name and briefly explain four main causes (types) of market failure. (4)

5.2 Classify each of the following according to rivalry and excludability, and name the type of good: (a) national defence; (b) a ticket to a movie at a cinema; (c) perlemoen (abalone) along the Cape coast; (d) a toll road that is not congested. (4)

5.3 With the aid of a clearly labelled graph, explain why a chemical factory that discharges waste into a river leads to an inefficient allocation of resources. (6)

5.4 Name two ways in which the government can reach the socially efficient output in Question 5.3. (2)

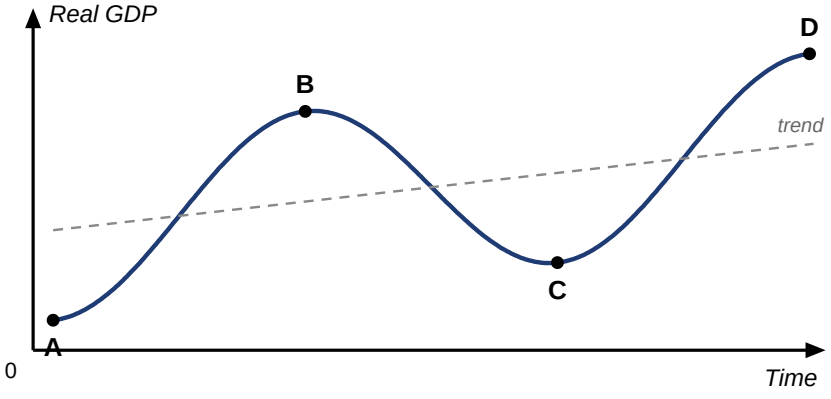
5.5 Governments, like markets, can fail. Explain government failure with reference to the behaviour of politicians and bureaucrats, and rent seeking. (4)

5.6 Briefly distinguish between the allocation, distribution and stabilisation functions of government. (3)

5.7 Discuss the three criteria of a good tax. (3)

QUESTION 6 / *VRAAG 6* *Economic growth and business cycles* [12]

Study the diagram below and answer the questions that follow.



6.1 Name the turning points B and C and explain the economic activity that takes place between points A and B, and between points B and C. (4)

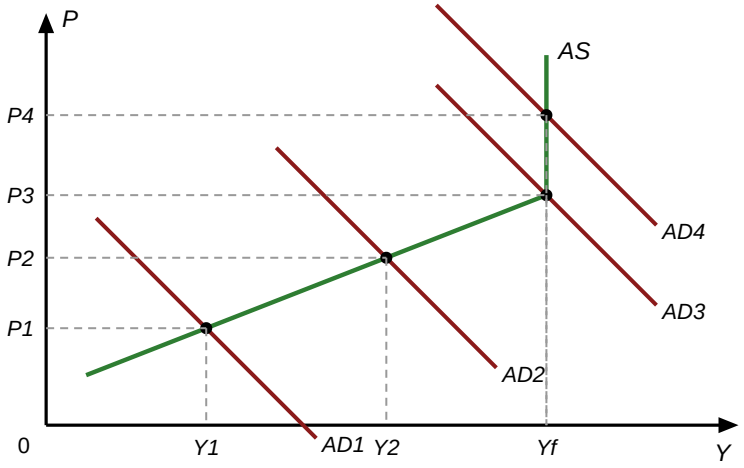
6.2 Classify each statement according to the theory of business cycles (classical, Keynesian or structuralist): (3)
(a) “The economy is inherently stable; cycles are caused by external factors such as droughts and wars, so government should leave the market alone.”
(b) “Cycles are part of the way a market economy works; government should use fiscal and monetary policy to smooth peaks and troughs.”
(c) “The market is neither inherently stable nor unstable; cycles result from structural changes and unpredictable events such as the 2008/9 financial crisis.”

6.3 Classify each of the following as a leading, coincident or lagging business-cycle indicator: (3)
(a) the rand–dollar exchange rate; (b) the volume of industrial production; (c) the average duration of unemployment.

6.4 Name two supply-side and two demand-side sources of economic growth. (2)

QUESTION 7 / *VRAAG 7* *Inflation* [18]

Study the diagram below.



7.1 Identify the type of inflation illustrated in the diagram and name any three factors that can cause this type of inflation. What happens when the economy moves from E3 to E4? (4)

7.2 With the aid of a graph, explain cost-push inflation. Explain why restrictive monetary and fiscal policies are not appropriate to combat this type of inflation, and name the policy that is preferred. (6)

7.3 Explain the three sets of factors identified by the structuralist approach to inflation. (3)

7.4 Briefly explain the conflict approach to inflation. (2)

7.5 In tabular form, provide three differences between the consumer price index (CPI) and the producer price index (PPI). (3)

QUESTION 8 / *VRAAG 8* *International trade and exchange rates* [16]

8.1 Define globalisation and give two pieces of evidence of globalisation. (2)

8.2 Indicate whether each transaction represents a demand for or a supply of US dollars in the South African foreign exchange market: (4)
(a) A South African student pays her tuition at a US university.
(b) A US investor buys Sasol shares on the JSE.
(c) A South African mine sells platinum to an American car maker.
(d) A South African investor expects the rand to depreciate against the dollar.

8.3 Use a graph to illustrate the effect of a decrease in the supply of dollars on the rand–dollar exchange rate (initial rate $1 = R8). Has the rand appreciated or depreciated? What is the effect on South African exports and imports? (4)

8.4 List two possible reasons for an appreciation of the rand against the US dollar. (2)

8.5 Discuss two arguments in favour of and two arguments against the use of trade barriers. (4)

QUESTION 9 / *VRAAG 9* *The Keynesian model* **[12]**

9.1 Provide four assumptions of the simple Keynesian model. (2)

9.2 What is meant by the consumption function? Explain its three main characteristics and illustrate the function graphically. (5)

9.3 Name three factors that determine investment spending by firms. (3)

9.4 Explain how (a) an increase in the tax rate and (b) an increase in government spending affect the multiplier. (2)

QUESTION 10 / *VRAAG 10* *Unemployment* **[12]**

10.1 Identify the type of unemployment in each case and justify your answer: (4)
(a) Lerato, a new BCom graduate, is searching for her first job.
(b) Mineworkers lose their jobs because a mine introduces automated drilling machines.
(c) Waiters at a Durban beach resort have no work after the December holidays.
(d) Workers at a furniture factory are laid off because sales fell during a recession.

10.2 Distinguish between the strict (narrow) and broad (expanded) definitions of unemployment. (2)

10.3 Give two reasons why people enter the unemployment pool and two reasons why they leave it. (2)

10.4 Name three possible causes of structural unemployment in South Africa and one policy aimed at the supply of labour that could reduce it. (4)

SECTION C / *AFDELING C* — CALCULATIONS [150]

QUESTION 1 / *VRAAG 1* *GDP and related aggregates* [20]

Table 1 provides key national accounts data for a hypothetical South African economy in 2025. Use it to answer the questions that follow. Show all formulae and calculations.

Item	R million
Household consumption expenditure	2 480 000
Gross capital formation (investment)	620 000
Government consumption expenditure	760 000
Exports of goods and services	1 050 000
Imports of goods and services	1 010 000
Taxes on production and imports	455 000
Subsidies on production	38 000
Consumption of fixed capital (depreciation)	410 000
Salaries earned by South African engineers working in Dubai	96 000
Dividends paid to British shareholders of South African mining companies	214 000
Population (persons)	63 100 000

1.1 Calculate gross domestic expenditure (GDE) at market prices. (2)

1.2 Calculate GDP at market prices using the expenditure method. (2)

1.3 Calculate GDP at factor cost. (2)

1.4 Calculate gross national income (GNI) at market prices. (3)

1.5 Calculate net national income (national income) at factor cost. (3)

1.6 Calculate net domestic product (NDP) at factor cost. (2)

1.7 Calculate GDP per capita (at market prices) in rand. Round your answer to two decimal places. (2)

1.8 Explain why GNI is smaller than GDP in this economy, and what the difference between GDP and GDE tells you about trade with the rest of the world. (4)

QUESTION 2 / *VRAAG 2* *GDP: the production and income methods* [15]

On 12 December 2025, Vaal Mining Ltd hosts its year-end gala and pays the event planner, **Mosaic Events**, R2 450 000 to organise it. Mosaic Events rents a hall for R180 000, hires 20 waiters at R4 500 each, and pays R25 000 interest on a business loan. Mosaic Events contracts **Chef Lerato** to cater for the evening at a fee of R1 360 000. Chef Lerato rents a commercial kitchen for R75 000 and pays wages of R140 000. She buys all her ingredients from **FreshMart Wholesalers** for R640 000. FreshMart pays R48 000 rent and R112 000 wages, and buys its fresh produce from **Lekoa Farms** for R230 000. Lekoa Farms pays wages of R86 000 and R14 000 interest on a tractor loan. Lekoa Farms does not buy any intermediate goods. (Hint: profit is the balancing item.)

2.1 Complete the table in the **Annexure** and show the value of GDP according to the production (value-added) method. (6)

2.2 Use the table in the Annexure to show the value of GDP according to the income method. Show how you calculated the profit of each participant. (6)

2.3 State GDP according to the expenditure method and explain why adding up the value of all sales would give a misleading figure. (3)

QUESTION 3 / *VRAAG 3* *Nominal GDP, real GDP and the GDP deflator* [15]

A small economy produces only three goods. Use the information below to answer the questions. **2024 is the base year.**

Good	2024 quantity	2024 price	2025 quantity	2025 price
Bread (loaves)	1 200	R18.00	1 300	R19.80
Airtime (vouchers)	800	R25.00	850	R26.50
Taxi trips	1 500	R14.00	1 560	R15.40

3.1 Calculate nominal GDP for 2024 and 2025. (4)

3.2 Calculate real GDP for 2024 and 2025. (3)

3.3 Calculate the growth rate of nominal GDP and of real GDP between 2024 and 2025. Which one measures economic growth? Explain. (4)

3.4 Calculate the GDP deflator for 2024 and 2025, and the inflation rate for 2025. (4)

QUESTION 4 / *VRAAG 4* *Measuring inflation with the CPI* [12]

The table shows hypothetical consumer price index (CPI) values (December 2024 = 100).

Month	CPI 2025	CPI 2026
January	104.2	107.8
February	104.9	108.6
March	105.6	109.3
April	105.9	110.1

4.1 Calculate the year-on-year inflation rate for each month of 2026. (4)

4.2 Calculate the month-on-month inflation rate for February, March and April 2026. (3)

4.3 Using the inflation target range in your study material (3–6%), comment on whether the SARB is meeting its target in April 2026, and what the MPC would likely do if inflation rose above 6%. (2)

4.4 Explain why year-on-year rates are preferred to month-on-month rates when reporting inflation. (3)

QUESTION 5 / *VRAAG 5* *The labour market* **[15]**

Labour market statistics for the fictional country of Mzansia for the third quarter of 2026 are as follows:

Category	Number (thousands)
Employed	16 800
Unemployed (actively searched for work in the past four weeks)	8 200
Not economically active:	
Discouraged work-seekers	3 400
Full-time students	6 900
Homemakers	2 700
Ill or disabled	1 500
Other (early retirees, etc.)	1 700
Working-age population (15–64)	**41 200**

5.1 Calculate the labour force (economically active population) according to the strict definition. (2)

5.2 Calculate the narrow (official) unemployment rate. (3)

5.3 Calculate the broad (expanded) unemployment rate. (4)

5.4 Calculate the labour force participation rate (strict definition). (3)

5.5 Explain why the broad unemployment rate is higher than the narrow rate, and give one argument for using the broad definition in South Africa. (3)

QUESTION 6 / *VRAAG 6* *Money supply* **[9]**

Use the following hypothetical data for South Africa to answer the questions. Show all equations.

Item	R billion
Coins and banknotes in circulation outside the banking sector	140
Banknotes and coins held in bank vaults	30
Demand deposits (cheque and transmission accounts) of the domestic private sector	1 260
Short- and medium-term deposits of the domestic private sector	1 480
Long-term deposits of the domestic private sector	1 320
Deposits of the central government with banks	95

6.1 Calculate M1. (2)

6.2 Calculate M2. (2)

6.3 Calculate M3. (2)

6.4 Identify the items you excluded and explain why. (2)

6.5 Which measure of money corresponds most closely to money's function as a store of value? Explain. (1)

QUESTION 7 / *VRAAG 7* *Taxation* [16]

The table below shows the SARS individual income tax rates for the 2024/25 tax year.

Taxable income (R)	Rates of tax (R)
1 – 237 100	18% of taxable income
237 101 – 370 500	42 678 + 26% of taxable income above 237 100
370 501 – 512 800	77 362 + 31% of taxable income above 370 500
512 801 – 673 000	121 475 + 36% of taxable income above 512 800
673 001 – 857 900	179 147 + 39% of taxable income above 673 000
857 901 – 1 817 000	251 258 + 41% of taxable income above 857 900
1 817 001 and above	644 489 + 45% of taxable income above 1 817 000
Rebates	Primary: R17 235 | Secondary (65 and older): R9 444 | Tertiary (75 and older): R3 145

7.1 Naledi (42 years old) earns a monthly salary of R58 500. Calculate the total annual tax payable by Naledi. (4)

7.2 Calculate Naledi's effective (average) tax rate. (2)

7.3 What is Naledi's marginal tax rate? Explain what it means. (1)

7.4 Naledi's father, aged 68, has a taxable income of R310 000. Calculate his tax payable and his effective tax rate. (4)

7.5 Sipho earns R12 000 per month and spends all of it on goods subject to VAT. Thandeka earns R80 000 per month and spends 60% of her income on goods subject to VAT. Assume VAT of 15% is levied on the amount spent. Calculate the average VAT rate (VAT paid as a percentage of income) for each person and use your answer to classify VAT. (5)

QUESTION 8 / *VRAAG 8* *International trade and exchange rates* [18]

South Africa and Brazil are the only two countries in the world, producing only citrus and coffee. The table shows the output of one worker per month if all of the worker's time is devoted to one good.

Country	Citrus (tonnes)	Coffee (bags)
South Africa	60	20
Brazil	80	40

8.1 Which country has an absolute advantage in the production of each good? Explain. (2)

8.2 Calculate the opportunity cost of producing 1 tonne of citrus and 1 bag of coffee in each country. (4)

8.3 Which country has a comparative advantage in each good? Which good should each country specialise in and export? (2)

8.4 Between which values must the international terms of trade for 1 bag of coffee lie for trade to be mutually beneficial? (2)

8.5 Suppose the countries agree to trade at 1 bag of coffee = 2.5 tonnes of citrus. Show how both countries gain. (2)

8.6 South Africa's export price index is 128.4 and its import price index is 136.9. Calculate the terms of trade index and interpret your answer. (3)

8.7 A laptop costs US$1 250. Calculate its rand cost when $1 = R17.85 and when $1 = R18.60 (ignore transport costs). What has happened to the rand? (3)

QUESTION 9 / *VRAAG 9* *The Keynesian model: a closed economy* [12]

In the closed economy of Ditsobotla (no government or foreign sector), when total income increases from R800 million to R1 200 million, household consumption increases from R740 million to R1 060 million. Investment is autonomous at R180 million.

9.1 Calculate the marginal propensity to consume (MPC). (2)

9.2 Calculate the marginal propensity to save (MPS). (1)

9.3 Derive the consumption function. (2)

9.4 Derive the savings function and calculate savings when income is R1 200 million. (2)

9.5 Calculate the multiplier and equilibrium income. (3)

9.6 Investment increases by R40 million. Calculate the change in equilibrium income and the new equilibrium income. (2)

QUESTION 10 / *VRAAG 10* *The Keynesian model: an open economy with government* [18]

The following information describes the economy of Thabong (R million):

$C = 120 + 0.85Y_d$ $t = 0.2$ $I = 260$ $G = 310$ $X = 240$ $Z = 50 + 0.08Y$

(Y_d = disposable income = $(1 - t)Y$.)

10.1 Calculate the value of the multiplier. (3)

10.2 Use the multiplier to calculate equilibrium income. (2)

10.3 Calculate equilibrium income using the total (aggregate) expenditure approach. (3)

10.4 Calculate the government's tax revenue and its budget balance. Is it a surplus or a deficit? (2)

10.5 Calculate total household consumption at equilibrium. (2)

10.6 The government introduces a basic income grant that increases government spending by R60 million, financed by raising the tax rate to 0.25. Calculate the new equilibrium income using the total expenditure approach. (4)

10.7 Illustrate your answer in Question 10.2 graphically. Indicate the intercept, the 45° line and the equilibrium point. (2)

TOTAL: 500 MARKS / PUNTE

SECTION A — ANSWER SHEET

Name: _____ **Student no.:** _____

Shade one circle per question.

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ANNEXURE — SECTION C, QUESTION 2.1 and 2.2 Student no.: _____

Complete the table using the information in Section C, Question 2. Show the value of GDP according to the production and income methods in the TOTAL row.

Participant	Value of sales (R)	Intermediate purchases (R)	Value added (R)	Wages (R)	Rent (R)	Interest (R)	Profit (R)	Total income (R)
Lekoa Farms								
FreshMart Wholesalers								
Chef Lerato								
Mosaic Events								
TOTAL								

GDP (production method) = R _____ GDP (income method) = R _____